Building Value...for Our Shareholders

Financial Results

This financial review and analysis should be read in conjunction with the consolidated financial statements and related notes included in the Annual Report to Shareholders of Canada Bread.

Sales:
Sales for the year of $553.7 compared to $567.3 in 1999. Sales of frozen and pasta products continued to grow as the Company increased distribution and penetration of these products in the Canadian and U.S. marketplace. However, these sales increases were offset by lower sales of fresh bread products as unprofitable products were discontinued and changes in the structure of the retail trade resulted in volume changes in the Western and Eastern regions.

Earnings from Operations: *(before unusual items)*
Earnings from operations before unusual items of $24.7 million represents a 23% increase from $20.1 million last year. This strong earnings increase was achieved despite lower sales and was attributable to a relentless focus on margin improvement through cost reduction initiatives in manufacturing and the supply chain, elimination of unprofitable products and improvements in sales mix to more profitable branded products. Food Service and pasta sales continued to be a strong driver of sales and margins. In addition to direct cost improvements, the focus on improvements in the supply chain has also resulted in sharply improved customer service.

In 1999, the Company recorded an earnings charge of $8.4 million ($5.4 million after taxes), representing the cost of restructuring and streamlining operations. These initiatives are substantially complete and contributed to the strong operating earnings performance for 2000.

Other Income:
Other income increased from $1.5 million to $1.9 million. This increase was entirely due to improvements in Multi-Marques earnings, particularly in the fourth quarter of the year.

Taxation:
The Company's effective tax rate was 28.8% in 2000 (1999 – 43.0%). *The Company's tax rate is discussed in note 12 of the consolidated financial statements.*

Corporate Matters

Liquidity and Capital Resources:
Canada Bread finances its operations primarily out of cash flow from operations. In addition, to provide it with further liquidity, the Company and its subsidiaries have several lines of credit with major Canadian banks. The Company has two revolving operating facilities totalling $40 million. Of this amount, $20 million is a short term revolving credit line that is repayable in December 2001; and $20 million is a revolving term loan that is available through September 2003 and is extended annually at the lender's option. The Company had not drawn on these facilities at the end of December 2000 (1999 – $14.5 million).

The Company has demand overdraft facilities, of which $32.6 million was undrawn at the end of the year. In addition, the Company had a fully utilized accounts receivable securitization program at the end of the year of $20 million (1999 – $20 million).

Management is of the opinion that current sources of funding provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. Subsequent to the end of the year, the Company announced that it has agreed to purchase the remaining 75% interest in Multi-Marques,

...by looking towards the future

to bring its ownership to 100%. This transaction, which is subject to regulatory approval, will be financed with new long term debt.

Dividends:
Dividends paid in 2000 equaled $0.24 per share (1999 – $0.24), resulting in a cash outflow of $5.1 million (1999 – $5.1 million).

Risk Management:
The Company has financial risk to varying degrees relating to interest rates, foreign exchange and commodity pricing. The cost of flour, which represents a large component of the Company's raw material costs, is directly impacted by wheat prices and quality, which are often volatile. The Company manages its exposure to fluctuating flour prices, when appropriate, through the use of forward purchase contracts.

Canada Bread also manages its exposure to interest rates by the use of interest rate derivative financial instruments, while foreign exchange currency contracts are used where appropriate to fix exchange rates on export sales and expenditures denominated in foreign currencies. *Information on the Company's use of derivative products and its year-end position is set out in note 7 to the consolidated financial statements.*

Environment:
Canada Bread is conscious of its responsibility to the environment and operates within an overall environmental policy that has been formally approved by the Board of Directors. The Board of Directors monitors compliance on a regular basis. The Company's emphasis on the environment extends to the operations of its plants and the impact of these operations on air and water quality, the handling of toxic and dangerous chemicals and the use of packaging. The Company strives to exceed required environmental compliance and to provide a safe workplace for its employees. Resources, training and capital are directed to these areas to ensure that the Company continues to meet its responsibilities. The Company is in material compliance with existing environmental legislation. Expenditures relating to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

Related Party Transactions:
Maple Leaf Foods Inc. and its subsidiary, Maple Leaf Foods USA Inc., provide certain management and other services to Canada Bread. The Company's Audit Committee reviews these arrangements on a regular basis. *See note 14 to the consolidated financial statements for further details.*

Change in Accounting Policies:
The Company implemented the new CICA standard for employee future benefits and its pension plans and other post retirement benefits prospectively effective January 1, 2000. Application of the recommendation did not have a material effect on net earnings or earnings per share.

The Company implemented the new CICA standard for income taxes retroactively effective January 1, 2000, without restatement of prior period financial statements as permitted under the new standards. Application of the recommendation would not have materially affected net earnings or earnings per share as previously reported in 1999. In total, adoption of the standard resulted in a cumulative reduction to retained earnings at January 1, 2000, of $7.8 million.